

28 Aug 2026 06:57:26 ET | 19 pages

NARI Technology Co (600406.SS)

1H26 Profit Miss due to Forex & Impairment Losses; Core Profit Still Fine

CITI'S TAKE

NARI's 1H26 net profit (+4% yoy) was below consensus owing to forex and impairment losses; stripping out these, the net profit would have been +11% yoy, in line with market forecasts. Its new order growth was robust +28.8% yoy in 1H26 though much of this could be from low GP margin (15-20%) ESS sales. We cut 2026-28E net profits by 3-5% as we incorporate revenue and margin updates. Our DCF-based TP is -9.7% to Rmb28/share owing to profit cuts and WACC update. We maintain our Buy rating as we expect its core profit should be able to rise near 10% pa ahead amid PRC's higher grid investments and NARI's better position with new product development. Its 19.4x 2027E PER, 3.1x PB and 3.1% yield are justified with defensive earnings.

1H26 earnings miss owing to forex and impairment losses — NARI's net profit came in +4.1% yoy to Rmb3,073m in 1H26, including +3.5% yoy to Rmb2,351m in 2Q26. The growth came in below Street estimates dragged by total Rmb200m non-operating losses, including Rmb120m forex loss and Rmb8-90m impairment losses. Stripping out these two items, net profit would have been +10.9% yoy in 1H, in line with market forecasts. Interim DPS was +4.1% yoy to Rmb0.153, with payout ratio +0.3ppts yoy to 40.3%.

High new order growth; more revenue mix from overseas — NARI's bright spot of 1H26 results was new orders +28.8% yoy to Rmb45.63bn. It assumes its new orders to rise double-digit % yoy in 2026E. Overseas revenue nearly tripled yoy to Rmb5.89bn in 1H26 driven primarily by Duqm energy storage EPC project in Oman. Its revenue mix from overseas was +13.0ppts yoy to 21.2% in the period.

GP margin cut — NARI's GP margin was -1.2ppts yoy to 24.7% in 1H26 owing to intensified market competition, revenue mix change and rising raw material costs (e.g., energy storage chips, memory chips, relays). Among the Rmb9.6bn revenue of low-carbon energy segment in 1H26, >Rmb5bn (i.e. over 50%) was from ESS. The Duqm project in Oman has a total value of Rmb3.3bnm with Rmb2bn booked in 1H26. The GP margin of ESS was below the company's average at 15-20%.

High revenue growth in 2026E — NARI guides to high revenue growth in 2026E in view of its fast new order growths; specifically, it guides (i) revenue of smart grid segment would reach +10% yoy with more UHV related projects; (ii) revenue of digital-energy fusion segment to rise yoy (with strong bid wins for PRC grid digitalization projects); (iii) revenue of low-carbon energy segment to add >20% yoy for more ESS sales; and (iv) revenue of industrial internet segment to climb up >15%.

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(RmbM)	(Rmb)	(%)	(x)	(x)	(%)	(%)
2024A	7,610	0.947	0.8	24.3	3.8	15.8	2.5
2025A	8,279	1.031	8.8	22.3	3.5	16.2	2.7
2026E	8,789	1.094	6.2	21.0	3.3	16.2	2.9
2027E	9,544	1.188	8.6	19.4	3.1	16.4	3.1
2028E	10,525	1.310	10.3	17.6	2.9	17.0	3.4

Source: Powered by dataCentral

Buy

Price (28 Aug 26 15:00)	Rmb23.010
Target price	Rmb28.000↓
	from Rmb31.000
Expected share price return	21.7%
Expected dividend yield	2.9%
Expected total return	24.6%
Market Cap	Rmb184,811M
	US\$27,502M

Price Performance

(RIC: 600406.SS, BB: 600406 CH)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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600406.SS: Fiscal year end 31-Dec						Price: Rmb23.010; TP: Rmb28.000; Market Cap: Rmb184,811m; Recomm: Buy					
Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	57,394	65,792	72,785	81,906	89,592	PE (x)	24.3	22.3	21.0	19.4	17.6
Cost of sales	-42,460	-49,117	-54,979	-62,651	-68,829	PB (x)	3.8	3.5	3.3	3.1	2.9
Gross profit	14,934	16,674	17,807	19,255	20,763	EV/EBITDA (x)	18.3	16.8	15.4	14.2	13.0
Gross Margin (%)	26.0	25.3	24.5	23.5	23.2	FCF yield (%)	5.0	6.1	3.4	2.5	3.7
EBITDA (Adj)	9,632	10,766	11,812	12,820	14,099	Dividend yield (%)	2.5	2.7	2.9	3.1	3.4
EBITDA Margin (Adj) (%)	16.8	16.4	16.2	15.7	15.7	Payout ratio (%)	60	60	60	60	60
Depreciation	-1,421	-1,416	-1,545	-1,707	-1,844	ROE (%)	15.8	16.2	16.2	16.4	17.0
Amortisation	-254	-276	-230	-192	-160	Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	7,956	9,075	10,037	10,922	12,096	EBITDA	9,632	10,766	11,812	12,820	14,099
EBIT Margin (Adj) (%)	13.9	13.8	13.8	13.3	13.5	Working capital	1,063	2,546	-4,509	-5,996	-5,216
Net interest	480	283	44	55	44	Other	391	4	798	-678	-804
Associates	0	0	0	0	0	Operating cashflow	11,087	13,316	8,101	6,146	8,080
Non-Op/Except/Other Adj	701	461	343	343	343	Capex	-1,850	-2,110	-1,758	-1,566	-1,262
Pre-tax profit	9,137	9,819	10,424	11,320	12,482	Net acq/disposals	36,014	61,407	0	0	0
Tax	-990	-961	-1,020	-1,108	-1,221	Other	-48,623	-66,723	-7	-10	-8
Extraord./Min.Int./Pref.div.	-536	-579	-615	-668	-736	Investing cashflow	-14,459	-7,427	-1,765	-1,576	-1,270
Reported net profit	7,610	8,279	8,789	9,544	10,525	Dividends paid	-5,635	-4,916	-5,304	-5,760	-6,352
Net Margin (%)	13.3	12.6	12.1	11.7	11.7	Financing cashflow	-5,949	-5,587	-5,265	-5,699	-6,305
Core NPAT	7,610	8,279	8,789	9,544	10,525	Net change in cash	-9,286	287	1,071	-1,128	505
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	9,237	11,205	6,343	4,580	6,818
Reported EPS (Rmb)	0.947	1.031	1.094	1.188	1.310						
Core EPS (Rmb)	0.947	1.031	1.094	1.188	1.310						
DPS (Rmb)	0.570	0.622	0.660	0.717	0.791						
CFPS (Rmb)	1.380	1.658	1.009	0.765	1.006						
FCFPS (Rmb)	1.150	1.395	0.790	0.570	0.849						
BVPS (Rmb)	6.135	6.554	6.987	7.459	7.978						
Wtd avg ord shares (m)	8,033	8,032	8,033	8,033	8,033						
Wtd avg diluted shares (m)	8,033	8,032	8,033	8,033	8,033						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	11.0	14.6	10.6	12.5	9.4						
EBIT (Adj) (%)	1.7	14.1	10.6	8.8	10.8						
Core NPAT (%)	0.8	8.8	6.2	8.6	10.3						
Core EPS (%)	0.8	8.8	6.2	8.6	10.3						
Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	9,033	7,323	8,395	7,266	7,771						
Accounts receivables	30,926	31,250	34,572	38,904	42,555						
Inventory	11,334	13,058	14,446	16,257	17,782						
Net fixed & other tangibles	15,706	14,733	13,981	13,840	13,258						
Goodwill & intangibles	1,657	1,819	1,152	960	801						
Financial & other assets	24,415	30,403	33,631	37,841	41,389						
Total assets	93,072	98,586	106,176	115,068	123,556						
Accounts payable	26,816	27,829	31,150	35,497	38,997						
Short-term debt	658	557	658	658	658						
Long-term debt	21	21	21	21	21						
Provisions & other liab	12,740	13,719	13,790	13,883	13,962						
Total liabilities	40,235	42,126	45,619	50,059	53,638						
Shareholders' equity	49,281	52,646	56,129	59,913	64,086						
Minority interests	3,556	3,813	4,428	5,095	5,832						
Total equity	52,837	56,459	60,557	65,009	69,918						
Net debt (Adj)	-8,354	-6,745	-7,715	-6,587	-7,092						
Net debt to equity (Adj) (%)	-15.8	-11.9	-12.7	-10.1	-10.1						

For definitions of the items in this table, please click [here](#).

1H26 Profit Dragged by Forex and Impairment Losses

Figure 1. NARI - 1H26 Results Highlight

(Rmbm)	2Q26	YoY	QoQ	1H26	YoY	Comment for 1H26 results
Operating revenue	18,203	18.6%	90.3%	27,767	14.5%	* Grid revenue +8.9% yoy to Rmb13,306m in 1H26
Less: Cost of sales	-13,567	22.4%	89.4%	-20,731	16.3%	
Less: Business tax and surcharge	-98	25.4%	30.7%	-173	26.4%	
Gross profit	4,538	8.5%	95.2%	6,863	9.4%	
<i>GP margin</i>	<i>24.9%</i>	<i>-2.3ppts</i>	<i>0.6ppts</i>	<i>24.7%</i>	<i>-1.2ppts</i>	
Less: Selling & distribution expenses	-547	4.4%	9.0%	-1,049	5.0%	* As of revenue -0.3ppts yoy to 3.8% in 1H26
Less: Administrative expenses	-1,122	9.8%	-4.7%	-2,298	7.2%	* As of revenue -0.6ppts yoy to 8.3% in 1H26
Less: Impairment loss	-278	51.1%	-2401.8%	-265	58.2%	
Operating profit	2,591	5.7%	293.4%	3,250	9.6%	
<i>OP margin</i>	<i>14.2%</i>	<i>-1.7ppts</i>	<i>7.3ppts</i>	<i>11.7%</i>	<i>-0.5ppts</i>	
Add: Other income	158	40.7%	-0.4%	316	17.8%	
Add: Investment income	59	-1.3%	2.7%	117	n/a	
Add: Disposal gains	0	n/a	-460.2%	0	-209.8%	
Add: Fair value gains	58	84.5%	-16.0%	128	71.7%	
Less: Finance costs	-23	-132.9%	-67.0%	-93	-170.5%	* FX loss of Rmb127m in 1H26 vs. Rmb2m in 1H25 * Remain net cash position as at end 1H26
Add: Non-operating income	2	-65.3%	11.2%	4	-63.3%	
Less: Non-operating expenses	-5	134.2%	146.2%	-7	131.3%	
Profit before tax	2,841	4.1%	224.9%	3,715	4.6%	
Less: Income tax	-338	12.6%	161.2%	-467	8.8%	
<i>Tax rate</i>	<i>11.9%</i>	<i>0.9ppts</i>	<i>-2.9ppts</i>	<i>12.6%</i>	<i>0.5ppts</i>	
Profit after tax	2,503	3.0%	236.0%	3,248	4.0%	
MI	-152	-3.6%	539.4%	-176	2.3%	
Net profit	2,351	3.5%	226.0%	3,073	4.1%	
<i>NP margin</i>	<i>12.9%</i>	<i>-1.9ppts</i>	<i>5.4ppts</i>	<i>11.1%</i>	<i>-1.1ppts</i>	
Recurrent profits	2,283	4.0%	226.0%	2,925	4.3%	
Basic EPS (Rmb)	0.290	2.5%	222.2%	0.380	3.4%	
Diluted EPS (Rmb)	0.290	2.5%	222.2%	0.380	3.4%	
DPS				0.153	4.1%	
Payout				40.3%	0.3ppts	

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Source: Company Reports, Citi Research

NARI's net profit was +4.1% yoy to Rmb3,073m in 1H26, including +3.5% yoy to Rmb2,351m in 2Q26. The profit growth was less than market expectations dragged by total Rmb200m non-operating losses, including Rmb120m forex loss and Rmb8-90m impairment losses. Stripping out these Rmb200m losses, its net profit would +10.9% yoy in 1H, in line with market forecasts.

NARI's GP margin was -1.2ppts yoy to 24.7% in 1H26 due to intensified market competition, revenue mix change and rising raw material costs (e.g., energy storage chips, memory chips, relays). Among the Rmb9.6bn revenue of low-carbon energy segment in 1H26, >Rmb5bn (i.e. over 50%) was from ESS. The Duqm project in Oman has a total value of Rmb3.3bnm with Rmb2bn booked in 1H26. The GP margin of ESS was below the company's average at 15-20%.

NARI's 1H26 revenue from power grids was +6.4% yoy to Rmb13.9bn and that from non-grid customers was +23.7% yoy to Rmb13.8bn. Overseas revenue nearly tripled +196.6% yoy to Rmb5.89bn in 1H26 driven primarily by Duqm energy storage EPC project in Oman. The bright spot was new order amount reached +28.8% yoy to Rmb45.63bn in 1H26; NARI assumes its new orders to rise double digit % yoy in 2026E. Operating cash inflow fell 79.0% yoy to Rmb591m in 1H26 from high base. Interim DPS was +4.1% yoy to Rmb0.153, with payout ratio +0.3ppts yoy to 40.3%.

Figure 2. NARI – Gross Profit Breakdown in 1H26

	Revenue			Gross profit				Gross margin			
Rmbm	1H26	YoY	Mix	Chg	1H26	YoY	Mix	Chg	1H25	1H26	Chg
Smart grid	13,306	8.8%	47.9%	-2.5ppts	3,978	7.3%	56.5%	-1.3ppts	30.3%	29.9%	-0.4ppts
Digital & energy fusion	3,696	-5.2%	13.3%	-2.8ppts	945	3.5%	13.4%	-0.8ppts	23.4%	25.6%	2.2ppts
Low carbon energy	9,614	47.0%	34.6%	7.6ppts	1,792	26.9%	25.5%	3.4ppts	21.6%	18.6%	-3.0ppts
Industrial Internet	954	-23.4%	3.4%	-1.7ppts	233	-6.4%	3.3%	-0.6ppts	20.0%	24.4%	4.4ppts
Integrated products and others	129	-57.0%	0.5%	-0.8ppts	51	-51.5%	0.7%	-0.9ppts	35.1%	39.5%	4.5ppts
Total revenue for main businesses	27,699	14.4%	99.8%	-0.1ppts	6,999	9.6%	99.5%	-0.2ppts	26.4%	25.3%	-1.1ppts
Others	68	111.7%	0.2%	0.1ppts	37	53.6%	0.5%	0.2ppts	76.0%	55.1%	-20.9ppts
Total	27,767	14.5%	100.0%	n/a	7,036	9.7%	100.0%	n/a	26.5%	25.3%	-1.1ppts

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Source: Company Reports, Citi Research

NARI guides to high revenue growth in 2026E in view of its fast new order growth; specifically, it guides (i) revenue of the smart grid segment would grow +10% yoy with more UHV related projects; (ii) revenue of digital-energy fusion segment to rise yoy (with strong bid wins for PRC grid digitalization projects); (iii) revenue of low-carbon energy segment to increase more than 20% yoy driven by a significant surge in energy storage; and (iv) revenue of industrial internet segment to climb up >15%. Its international business would maintain high growth momentum from projects in Oman and Saudi Arabia.

Figure 3. NARI's annual new orders and orders on hand since 2018

	New order		Order on hand	
	Rmb bn	YoY	Rmb bn	YoY
2018	39.0	n/a	33.1	n/a
2019	43.0	10%	39.8	20%
2020	50.0	16%	45.6	15%
2021	55.6	11%	51.5	13%
2022	51.7	-7%	49.8	-3%
2023	58.3	13%	49.9	0%
1H24	28.7	10.7%	n/a	n/a
2024	66.3	14%	56.0	12%
1H25	35.4	23%	50-60	n/a
2025	33.2	-50%	52.0	-7%
1Q26	n/a	20%	52.0	3%
1H26	45.6	29%	n/a	n/a

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Source: Citi Research

PRC Smart Grid and UHV Development Outlook

The national plan for a "New Power System" under 15th Five-Year Plan has been released, projecting grid investment of approximately Rmb5trn; UHV and inter-regional transmission are key strategic priorities. China aims to increase inter-regional and inter-provincial transmission capacity by >30% during 15th 5-year period. It plans to target a "West-to-East Power Transmission" scale exceeding 420 GW by 2030E, with inter-provincial power mutual support of 40GW during the 15th Five-Year Plan period; 15–20 UHV lines are expected to be approved, with construction starting on 3–4 lines annually under the "426 Project."

NARI's New Production Development Update

For high-Voltage IGBT, self-developed products have undergone on-grid application and comprehensive testing in a CSG demonstration project. Validation

is expected to conclude in the first half of this year, followed by large-scale application in "Tigra" converter valves. For SST, engineering validation for the first-generation product was completed in Suzhou in 2018; in June 2026, NARI launched its second generation products for applications at data centers, super-charging stations, new energy grid integration, and smart microgrids; testing for the complete third-generation unit is expected to conclude by year-end.

2026-28E Net Profits Trimmed 3-5%

Figure 4. NARI's profit forecast revision – New vs Old

	New	Old	% change
Revenue (Rmbm)			
FY26E	73,269	74,831	-2.1%
FY27E	82,451	85,372	-3.4%
FY28E	90,188	93,379	-3.4%
Operating profit (Rmbm)			
FY26E	10,037	10,550	-4.9%
FY27E	10,922	11,482	-4.9%
FY28E	12,096	12,534	-3.5%
OP margin			
FY26E	13.7%	14.1%	-0.4ppts
FY27E	13.2%	13.4%	-0.2ppts
FY28E	13.4%	13.4%	0.0ppts
Net profit (Rmbm)			
FY26E	8,789	9,222	-4.7%
FY27E	9,544	10,005	-4.6%
FY28E	10,525	10,873	-3.2%
NP margin			
FY26E	12.0%	12.3%	-0.3ppts
FY27E	11.6%	11.7%	-0.1ppts
FY28E	11.7%	11.6%	0.0ppts
EPS (Rmb)			
FY26E	1.094	1.148	-4.7%
FY27E	1.188	1.246	-4.6%
FY28E	1.310	1.354	-3.2%
DCF (Rmb)	28.00	31.00	-9.7%
Rating	Buy	Buy	

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Source: Company Reports and Citi Research Estimates

Figure 5. NARI's net profit forecast – Citi vs consensus

Net profit (Rmbm)	Citi	Consensus	% diff
FY26E	8,789	9,151	-4.0%
FY27E	9,544	10,205	-6.5%
FY28E	10,525	11,426	-7.9%

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Source: Bloomberg, Citi Research

Key Assumptions & DCF Calculation

Figure 6. NARI – Key Assumption – Segment Sales

SEGMENT SALES	2024	2025	2026E	2027E	2028E
Smart grid	28,879	33,422	36,764	42,279	46,507
yoy	11%	16%	10%	15%	10%
Low carbon energy	12,185	16,730	20,076	23,087	25,858
yoy	26%	37%	20%	15%	12%
Industrial Internet	2,867	3,014	3,466	3,986	4,584
yoy	-10%	5%	15%	15%	15%
Digital & energy fusion	12,365	12,303	12,426	12,551	12,676
yoy	11%	0%	1%	1%	1%
Integrated products and others	1438	687	481	505	530
yoy	-24%	-52%	-30%	5%	5%
Other Operating Revenue	94	73	56	43	33
yoy	-13%	-23%	-23%	-23%	-23%
Total Gross Sales	57,829	66,229	73,269	82,451	90,188

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Source: Citi Research

Figure 7. NARI – Key Assumption – Segment Gross Margin

SEGMENT Gross Profit Margin	2024	2025	2026E	2027E	2028E
Smart grid	29.3%	30.1%	29.7%	28.7%	28.7%
growth					
Low carbon energy	23.0%	20.2%	16.2%	15.2%	14.2%
growth					
Industrial Internet	27.4%	21.6%	25.6%	25.6%	25.6%
growth					
Digital & energy fusion	22.4%	22.6%	24.6%	23.6%	23.6%
growth					
Integrated products and others	33.7%	26.6%	26.6%	26.6%	26.6%
growth					
Other Operating Revenue	63.7%	67.2%	67.2%	67.2%	67.2%
growth					
Total Gross Sales	26.6%	25.8%	25.0%	24.0%	23.7%

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Source: Citi Research

Figure 8. NARI – DCF Calculation

DCF Calculation	12/31/2026	12/31/2027	12/31/2028	12/31/2029	12/31/2030	12/31/2031	12/31/2032	12/31/2033	12/31/2034	12/31/2035
EBIT	10,037	10,922	12,096	13,198	14,418	15,768	17,262	18,915	20,746	22,773
Effective tax rate	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%
After-tax EBIT	9,055	9,853	10,912	11,907	13,007	14,225	15,572	17,064	18,716	20,544
Less: Capex	-1,758	-1,566	-1,262	-888	-433	120	785	1,582	2,532	3,662
Add: D&A	1,775	1,898	2,004	2,081	2,123	2,120	2,061	1,933	1,723	1,413
Less: Net Working Capital Investment	-1,736	-2,248	-2,058	-2,427	-2,692	-2,986	-3,314	-3,678	-4,082	-4,533
FCF	7,336	7,937	9,596	10,672	12,006	13,478	15,104	16,901	18,888	21,087

DCF - Terminal Value	
FCF in 2030E	21,087
Terminal Growth Rate	4%
WACC	10.4%
Terminal Value	343,191
Discount Factor	2.43
PV of Terminal Value	140,982
Explicit FCF	80,649
Total PV of FCF	221,631
Net debt and MI	3,287
After debt and MI	224,919
No. of Shares	8,033
Target Price	28.00

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Source: Citi Research

Financial Statements and Key Ratios

Figure 9. NARI – Consolidated Income Statement

Consolidated Income Statement	2024	2025	2026E	2027E	2028E
Gross Sales	57,829	66,229	73,269	82,451	90,188
(-) Sales tax	-436	-437	-484	-545	-596
Net sales	57,394	65,792	72,785	81,906	89,592
(-) Cost of sales	-42,460	-49,117	-54,979	-62,651	-68,829
Gross profit	14,934	16,674	17,807	19,255	20,763
Margin	25.8%	25.2%	24.3%	23.4%	23.0%
(-) SG&A	-6,977	-7,599	-7,770	-8,334	-8,668
EBIT	7,956	9,075	10,037	10,922	12,096
Margin	13.8%	13.7%	13.7%	13.2%	13.4%
(-) Depreciation & Amortization	-1,675	-1,145	-1,775	-1,898	-2,004
EBITDA	9,632	10,219	11,812	12,820	14,099
Margin	16.7%	15.4%	16.1%	15.5%	15.6%
Total other non-operating items	701	461	343	343	343
Net interest income/expense	480	283	44	55	44
Adj Pretax profit	9,137	9,819	10,424	11,320	12,482
(-) Taxation	-990	-961	-1,020	-1,108	-1,221
(-) Minority interest	-536	-579	-615	-668	-736
Net income	7,610	8,279	8,789	9,544	10,525
YoY change	0.8%	8.8%	6.2%	8.6%	10.3%
Net profit margin	13.2%	12.5%	12.0%	11.6%	11.7%

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Source: Citi Research

Figure 10. NARI – Consolidated Balance Sheet

Consolidated Balance Sheet	2024	2025	2026E	2027E	2028E
Cash and marketable securities	9,033	7,323	8,395	7,266	7,771
Accounts receivable	30,926	31,250	34,572	38,904	42,555
Other receivables	2,495	3,265	3,612	4,064	4,446
Inventory	11,334	13,058	14,446	16,257	17,782
Total other current assets	21,812	27,034	29,908	33,655	36,814
Total Current assets	75,601	81,930	90,932	100,147	109,368
Net tangible fixed assets	9,338	8,743	7,991	7,850	7,268
Investments	74	70	77	87	95
Net goodwill	1	1	1	1	1
Total other intangible assets	1,656	1,818	1,150	959	799
Total non current assets	17,471	16,656	15,244	14,922	14,188
Total assets	93,072	98,586	106,176	115,068	123,556
Accounts payable	26,816	27,829	31,150	35,497	38,997
Short-term debt	658	557	658	658	658
Other short term liabilities	12,064	12,959	12,959	12,959	12,959
Current liabilities	39,538	41,345	44,766	49,113	52,613
Long-term debt	21	21	21	21	21
Other non-current liabilities	571	671	742	835	914
Non-current liabilities	697	782	853	946	1,024
Total liabilities	40,235	42,126	45,619	50,059	53,638
Minority interest - accumulated	3,556	3,813	4,428	5,095	5,832
Share capital	8,033	8,032	8,033	8,033	8,033
Retained earnings	32,037	35,061	38,885	42,669	46,842
Reserves & Others	9,212	9,553	9,212	9,212	9,212
Shareholders' Equity	52,837	56,459	60,557	65,009	69,918
Liabilities and Shareholders' Equity	93,072	98,586	106,176	115,068	123,556

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Source: Citi Research

Figure 11. NARI – Consolidated Cash Flow Statement

Consolidated Cash Flow Statement	2024	2025	2026E	2027E	2028E
Net income	7,610	8,279	8,789	9,544	10,525
Depreciation and amortization	1,675	1,145	1,775	1,898	2,004
Interest/Finance cost	29	20	31	31	31
Change in Working Capital	1,079	2,562	-4,610	-5,996	-5,216
Change in other current liabilities	-15	-16	101	0	0
Net change in working capitals	1,063	2,546	-4,509	-5,996	-5,216
Other operating cash flow items	709	779	2,014	668	736
Cash from operations	11,087	12,769	8,101	6,146	8,080
Investment in PP&E	-1,850	-2,110	-1,758	-1,566	-1,262
Proceeds from sale of PP&E	5	3	0	0	0
Purchase of long-term investments	-48,601	-66,716	-7	-10	-8
Total other investing cash flows	-27	-10	0	0	0
Cash from investing activities	-14,459	-7,427	-1,765	-1,576	-1,270
Change in borrowings	193	-59	0	0	0
Dividends paid and interest paid	-5,635	-4,916	-5,304	-5,760	-6,352
Total other financing cash flows	-507	-612	71	93	78
Cash from financing activities	-5,949	-5,587	-5,265	-5,699	-6,305
Foreign exchange adjustment (non-operating)	35	-14	0	0	0
Change in cash	-9,286	-260	1,071	-1,128	505
Opening cash	16,640	7,354	7,094	8,165	7,037
Closing cash	7,354	7,094	8,165	7,037	7,542

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Source: Citi Research

Figure 12. NARI – Key Ratios

	2024	2025	2026E	2027E	2028E
Gross margin (%)	26.0%	25.3%	24.5%	23.5%	23.2%
Net margin (%)	13.3%	12.6%	12.1%	11.7%	11.7%
Net debt to total capital (x)	-15.6%	-11.8%	-12.6%	-10.0%	-10.0%
Net debt to equity (x)	-15.8%	-11.9%	-12.7%	-10.1%	-10.1%
Interest coverage ratio (x)	277.2	453.7	319.1	347.3	384.6
Debt to EBITDA ratio	0.1	0.1	0.1	0.1	0.0
PER (x)	24.3	22.3	21.0	19.4	17.6
P/BV (x)	3.5	3.3	3.1	2.8	2.6
EV/EBITDA (x)	19.1	18.0	15.5	14.3	13.0
ROA (%)	8%	8%	8%	8%	9%
ROE (%)	14.4%	14.7%	14.5%	14.7%	15.1%
Operating margin	0.14	0.14	0.14	0.13	0.14
EPS	0.95	1.03	1.09	1.19	1.31
EPS Growth (%)	1%	9%	6%	9%	10%
Three-year EPS Growth	5%	8%	8%	9%	9%

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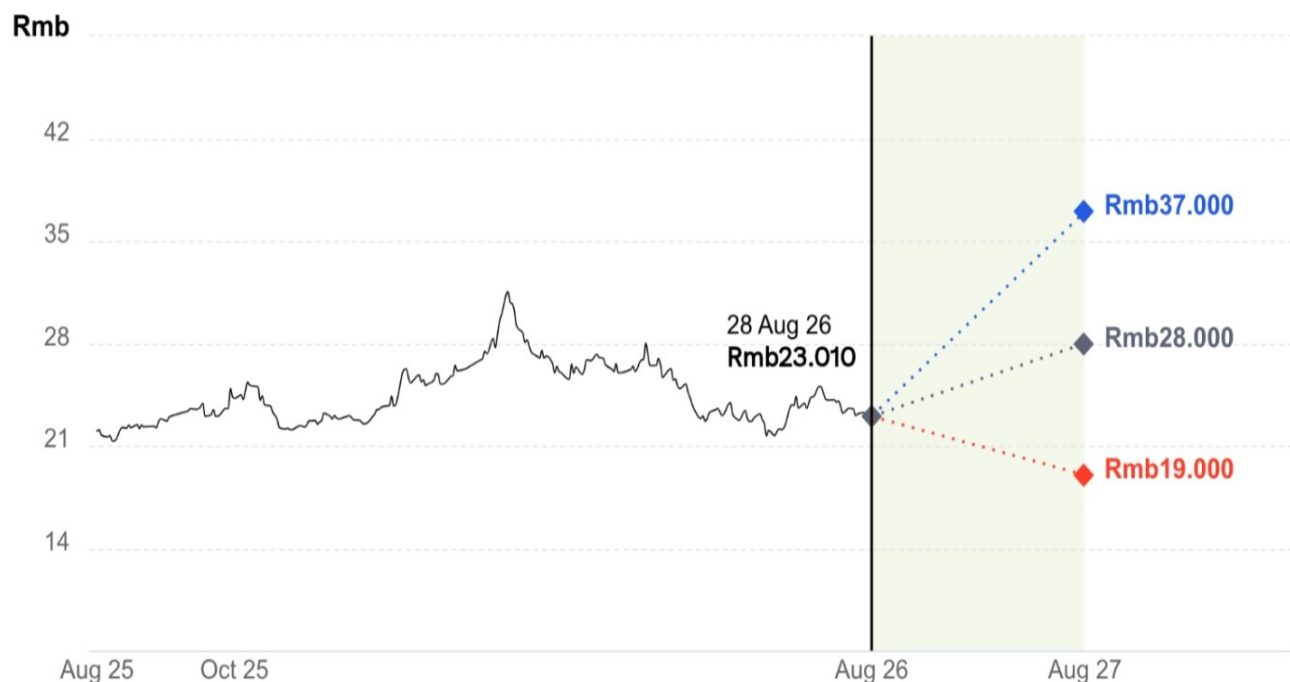
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Bull/Bear: NARI Technology Co (600406.SS)

Rmb **37.000**
▲ 61% Upside

Rmb **28.000**
▲ 22% Upside

Rmb **19.000**
▼ 17% Downside



Spread 78pp
Current Price and expected returns (upside/downside) as of 28 Aug 2026

BULL Assumptions

- Revenue growth +20ppts for smart grid
- Revenue growth +20ppts for low carbon
- Revenue growth +20ppts for digital & energy fusion

BASE Assumptions

- Base case

BEAR Assumptions

- Revenue growth -20ppts for smart grid
- Revenue growth -20ppts for low carbon
- Revenue growth -20ppts for digital & energy fusion

NARI Technology Co

Company description

NARI is a leading provider of power and automation technologies covering the businesses of power grid dispatching automation, clean energy, energy conservation & environmental protection, and industrial process control automation. According to the company, NARI is the No.1 power SCADA (a type of automation system) provider in China and No.1 smart grid researcher for State Grid of China. As an indirect subsidiary of China Electric Power Research Institute, NARI has a significant advantage in technology. In the power grid dispatching market, NARI has a market share of 35%.

Investment strategy

We have a Buy rating on NARI Tech stock as we expect the company's core profit to reach near 10% pa ahead amid PRC's higher grid investments and its better position with new product development.

Valuation

Our target price of Rmb28.00 on NARI shares is computed based on a DCF model, which is suitable for NARI because the power grid equipment industry is a relatively stable industry in terms of future cash flows. Our model forecasts cash flow up to 2030E and assumes a terminal growth rate of 4.0%. The WACC used in our model is 10.4%, which assumes a risk-free rate of 5.2%, market risk premium of 6.8%, and an equity beta of 0.8. According to our DCF model, the stock should trade at a P/E of 23.6x and P/B of 3.8x in 2027E.

Risks

Key downside risks that could prevent the shares from reaching our target price include: (1) lower-than-expected market demand; (2) delays in dispatching and in EPC project schedules by customers; and (3) higher-than-expected raw-material costs.

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Appendix A-1

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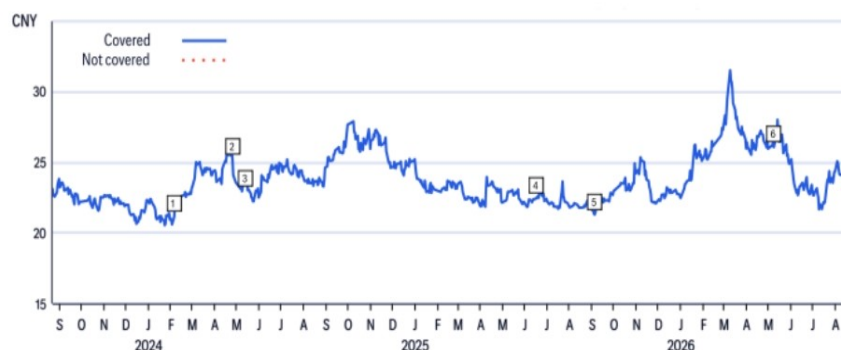
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NARI Technology Co (600406.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Pierre Lau, CFA



	Date	Rating	Target Price	Closing Price
1	05-Feb-24 11:08:25	1	*27.77	21.15
2	25-Apr-24 14:26:29	1	*28.50	25.18

	Date	Rating	Target Price	Closing Price
3	13-May-24 07:09:56	1	*27.50	24.22
4	16-Jun-25 08:18:15	1	*26.00	22.45

	Date	Rating	Target Price	Closing Price
5	04-Sep-25 06:58:11	1	*25.00	21.30
6	08-May-26 02:36:18	1	*31.00	26.08

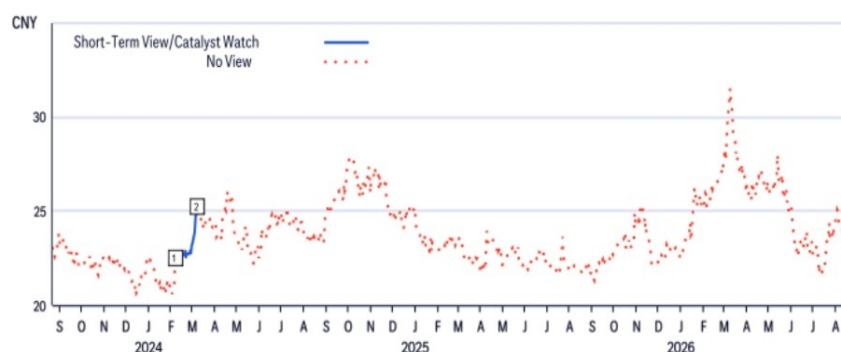
*Indicates Change

Rating/target price changes above reflect Eastern Time

NARI Technology Co (600406.SS)

Short-Term View/Catalyst Watch Research

Analyst: Pierre Lau, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Feb-24 23:39:24	Add CW	Upside	30 Days	22.14

	Date	Action	Expected Direction	Duration	Closing Price
2	08-Mar-24 11:05:36	Remove CW	Upside	30 Days	24.85

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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